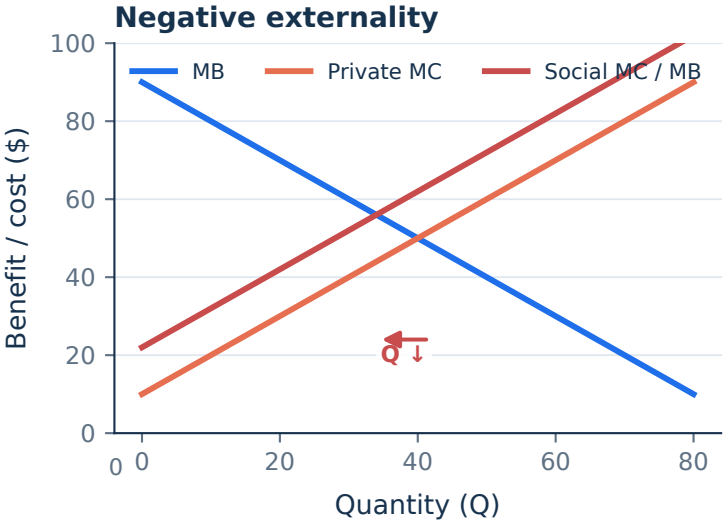
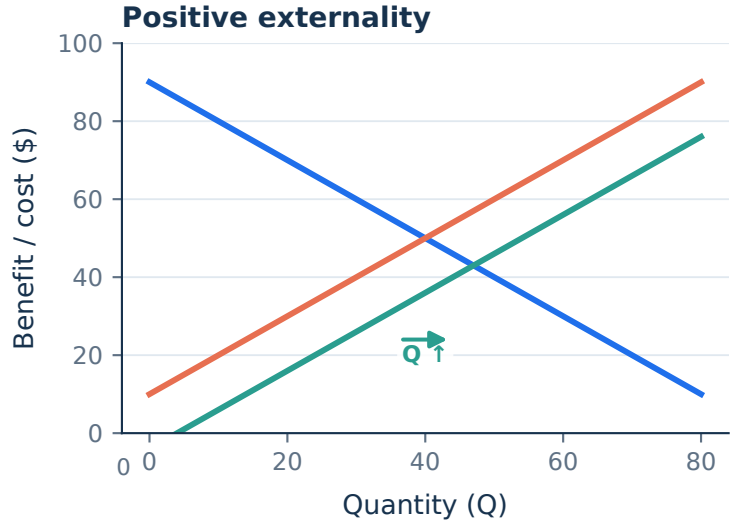
Externalities can create overproduction or underproduction





Source: Original illustrative model data. | Stylized comparison of market failure channels.